

COUR PERMANENTE DE JUSTICE INTERNATIONALE

SÉRIE A/B

ARRÊTS, ORDONNANCES ET AVIS CONSULTATIFS

FASCICULE N° 63

AFFAIRE OSCAR CHINN

ARRÊT DU 12 DÉCEMBRE 1934

XXXIII^{me} SESSION

1934

XXXIIIrd SESSION

JUDGMENT OF DECEMBER 12th, 1934

PERMANENT COURT OF INTERNATIONAL JUSTICE

SERIES A./B.

JUDGMENTS, ORDERS AND ADVISORY OPINIONS

FASCICULE No. 63

THE OSCAR CHINN CASE

LEYDE
SOCIÉTÉ D'ÉDITIONS
A. W. SIJTHOFF

LEYDEN
A. W. SIJTHOFF'S
PUBLISHING COMPANY

PERMANENT COURT OF INTERNATIONAL JUSTICE

THIRTY-THIRD (EXTRAORDINARY) SESSION.

1934.
December 12th.
General List:
No. 61.

December 12th, 1934.

THE OSCAR CHINN CASE

Ministerial decision imposing upon a fluvial transport company in the Belgian Congo under governmental supervision a reduction of its rates, in consideration of a promise of repayment—which might be temporary only—of its losses.

Convention of Saint-Germain of September 10th, 1919, revising the General Act of Berlin of February 26th, 1885, and the General Act and Declaration of Brussels of July 2nd, 1890. Principles of freedom of navigation, of freedom of trade and of equality of treatment.

General international law: the principle of respect for vested rights.

A "de facto monopoly"; special situation accorded to a company under government supervision; commercial competition. Discrimination based on nationality. Interests as opposed to vested rights.

JUDGMENT.

Before: M. GUERRERO, Vice-President (officiating President); Baron ROLIN-JAEQUEMYS, Count ROSTWOROWSKI, MM. FROMAGEOT, ALTAMIRA, ANZILOTTI, URRUTIA, Sir CECIL HURST, MM. SCHÜCKING, NEGULESCO, Jhr. VAN EYSINGA, Judges.

In the case concerning reparation for loss and damage alleged to have been sustained by Mr. Oscar Chinn, a British subject, as the result of certain measures taken by the Belgian Government,

Between the Government of the United Kingdom of Great Britain and Northern Ireland, represented by Mr. W. E. Beckett, Second Legal Adviser to the Foreign Office, as Agent,

and the Belgian Government, represented by M. de Ruelle, Legal Adviser to the Ministry for Foreign Affairs, as Agent,

The Court,

composed as above—the President of the Court being a national of one of the countries parties to the case, and the functions of President having therefore, in accordance with Article 13 of the Rules of Court, passed in respect of this case to the Vice-President—,

delivers the following judgment :

By a Special Agreement, signed at Brussels on April 13th, 1934, the Belgian Government and the Government of the United Kingdom agreed to submit to the Court a dispute which had arisen between them with regard to a claim made by the Government of the United Kingdom in respect of loss and damage alleged to have been sustained by Mr. Oscar Chinn, a British subject, as the result of certain measures taken and applied in the month of June 1931 and subsequently thereto by the Belgian Government in connection with the limited liability Company "*Union nationale des Transports fluviaux*" (commonly known as "Unatra") in relation to fluvial transport on the waterways of the Belgian Congo.

Under its third Article, this Special Agreement, which came into force on the date of signature, might "be notified to the Registrar of the Court forthwith by either Party". It was actually notified on May 1st, 1934, on which date the diplomatic representatives at The Hague of the two Governments concerned forwarded to the Registrar certified copies of the Special Agreement.

Under Article 1 of the Special Agreement, the Court is called upon to give judgment on the following questions :

"1. Having regard to all the circumstances of the case, were the above-mentioned measures complained of by the Government of the United Kingdom in conflict with the international obligations of the Belgian Government towards the Government of the United Kingdom ?

2. If the answer to question 1 above is in the affirmative, and if Mr. Oscar Chinn has suffered damage on account of the non-observance by the Belgian Government of the above-mentioned obligations, what is the reparation to be paid by the Belgian Government to the Government of the United Kingdom?"

Article 1, however, adds that the Court is requested, before fixing the amount of any reparation that may be payable, to indicate the principles upon which such reparation shall be calculated and to determine the procedure whereby the said amount shall be ascertained, if within a time-limit to be fixed by the Court the contracting Governments have not reached an agreement on the sum to be paid.

The subject of the dispute is thus indicated in accordance with Article 40 of the Statute of the Court.

The communications provided for in Article 40 of the Statute and Article 36 of the Rules of Court were duly despatched on May 3rd and 4th, 1934. Furthermore, on May 3rd, 1934, the Registrar, pursuant to Article 63 of the Statute and Article 60 of the Rules, gave notice of the institution of these proceedings to the States which, together with Belgium and the United Kingdom of Great Britain and Northern Ireland, had signed the Convention of September 10th, 1919, revising the General Act of Berlin, of February 26th, 1885, and the General Act and Declaration of Brussels, July 2nd, 1890; when transmitting to the Court the text of the Special Agreement, the Government of the United Kingdom had drawn its attention to the fact that the case would raise questions as to the construction of certain articles of that Convention.

In Article 2 of the Special Agreement, the contracting Governments agreed, in accordance with Article 39 of the Rules of Court, that the written proceedings in the suit should comprise the successive presentation of a Case, Counter-Case, and, if necessary, a Reply and a Rejoinder, the Case to be filed by the Government of the United Kingdom, the Counter-Case by the Belgian Government, and so on. In the same Article the two Governments also agreed in proposing the duration of the time-limits to be fixed by the Court for the filing of the documents above mentioned.

The time-limits were fixed in accordance with the Parties' proposal by an Order made on May 2nd, 1934; after an extension granted at the request of both Parties by an Order dated July 14th, 1934, the time-limit for the filing of the Belgian Government's Rejoinder ultimately expired on September 24th, 1934. The documents of the written proceedings having been duly presented within the periods fixed, the case became ready for hearing on that date.

The Government of the United Kingdom, in its Case, asks the Court to adjudge and declare:

“(1) that the measures complained of by the Government of the United Kingdom were in conflict (a) with the obligations of the Belgian Government towards the Government of the United Kingdom under the Convention of Saint-Germain; and (b) with the obligations of the Belgian Government towards the Government of the United Kingdom under general international law;

(2) that Mr. Oscar Chinn has suffered damage on account of the non-observance by the Belgian Government of its international obligations towards the Government of the United Kingdom, and that the Belgian Government is accordingly liable to make reparation to the Government of the United Kingdom”.

Other submissions are presented with regard to the manner in which the reparation claimed should, if necessary, be calculated, with regard to the ascertainment of the amount of reparation by an expert, if the Parties have not reached an agreement within a specified time; and lastly, with regard to the fixing by the Court, on receipt of the expert's report and after considering the observations of the Parties, of the sum to be paid by the Belgian Government to the Government of the United Kingdom.

These submissions are maintained unchanged in the written Reply of the Government of the United Kingdom, which simply adds thereto a request for the rejection of the submissions of the Belgian Government.

As worded in the Counter-Case of the Belgian Government, these submissions are as follows:

“May it please the Court,

To adjudge and declare :

that the measures for which the Belgian Government is blamed are in conflict neither with its international obligations under the Convention of Saint-Germain-en-Laye, nor with those ensuing from general international law; that accordingly the Belgian Government is not called upon to make any reparation;

alternatively, and should the Court not adopt the views of the Belgian Government with regard to the character of the measures complained of :

that, insufficient proof having been produced to establish according to law that the loss and damage complained of by Mr. Oscar Chinn are the outcome of the measures for which the Belgian Government is blamed, no reparation is due by the latter;

alternatively again :

that in any case the responsibility of the Belgian Government was only partial and a secondary factor, the economic crisis and the decision taken of his own account by Mr. Chinn to close down certain branches of his business which were not affected by the tariff measures adopted by the Belgian Colonial Administration being other and more important factors in the losses which are alleged.”

These submissions are not amended in the written Rejoinder of the Belgian Government, but a request is added for the rejection of "all submissions to the contrary".

In the course of public sittings held from October 23rd to October 26th, 1934, the Court heard observations on the procedure to be followed, oral statements and a reply and rejoinder, presented :

on behalf of the Government of the United Kingdom, by Mr. Beckett, Agent, and by Mr. Fachiri, Barrister-at-law, Counsel for that Government ;

on behalf of the Belgian Government, by M. de Ruelle, Agent, and by M. Dumont, Director at the Belgian Ministry for the Colonies.

The Agents informed the Court, in accordance with Article 46 of the Rules of Court, that they were agreed that the Agent for the Government of the United Kingdom should be called upon to speak first ; accordingly, Mr. Beckett opened the case.

The submissions presented on either side in the written proceedings were not amended in the course of the oral proceedings.

At the beginning of the hearing, the Agent for the Government of the United Kingdom observed that, at the conclusion of the written proceedings, there was still a considerable divergence between the Parties in regard to several matters of fact ; he suggested that, in the first place, the Court should decide in a judgment the questions of law in respect of which the two Governments were in dispute ; in its judgment the Court might direct an enquiry to be held into the facts if the nature of the Court's judgment on the questions of law was such as to render it necessary and if the Court did not feel able upon the evidence already before it to hold that the effect of the Belgian measures in question was to create a "*de facto* monopoly". The Agent for the Belgian Government, for his part, pointed to the power possessed by the Court under Article 50 of the Statute to order an enquiry at any time and stated that, subject to certain reservations, he saw no reason why the Court should not take note of the wish of the representatives of the United Kingdom. As the proposal made by the latter did not raise a preliminary issue, the Court reserved its decision.

A certain number of documents in support of their contentions were filed on behalf of each of the Parties as annexes to the documents of the written proceedings. With the consent of the Belgian Agent, the Agent for the United Kingdom submitted some additional documents in the course of the hearings¹.

¹ See list in the Annex.

These are the circumstances in which the Court is now called upon to give judgment in the case submitted to it by the Special Agreement of April 13th, 1934.

* * *

According to the statements of the Parties, the dispute forming the subject of these proceedings originated as follows:

Before the war of 1914-1918 and also afterwards until 1925, transport services on the Congo had been operated by, or under the auspices of, the Belgian Government, though not in any way to the exclusion of private enterprises. In 1921 it abandoned this business and transferred it to a Company known as the "Sonatra" Company, which it formed and which was under its management. In 1925, the Sonatra Company combined with a private Company known as "Citas" and became the "*Union nationale des Transports fluviaux*" known as "Unatra". According to the statutes of this Company, the State owned more than 70,000 shares out of 120,000; it still at the present time owns more than one-half of the shares (128,987 out of 243,000 shares).

According to the terms of the "*Cahier des charges*" agreement, which was made the subject of a Royal Decree dated March 12th, 1925, and to which the statutes were appended, the Company is under an obligation to the Colony to keep permanently in service a fleet capable of meeting the present needs and future expansion of transport traffic and to establish regular services with fixed time-tables on the Congo and on the Kasai, as well as on the navigable tributaries of those rivers. Transport rates are to be approved by the Minister for the Colonies or by the Governor-General before being put into force. The Colony has the right to insist on the maintenance of services even though they show a deficit, but is bound to make up the receipts to an amount equal to the running expenses. The Company can not grant exceptional rates without the special permission of the Colony. The State, for its part, is bound to entrust the Company with the transport by water of its officials and goods. It also guarantees interest at 6 per cent. on the debentures of the Company and the amortization of these debentures. The debentures are free of all taxes, whether state or colonial, over and above 2 per cent.

On October 18th, 1928, the Company wrote to the Government, drawing its attention to the adverse results shown for some time past by its business, to the falling off in its receipts though expenses remained practically at the same level, to its obligation to provide regular services regardless of the cargoes obtainable, to the expenses arising from its obligation to

increase its fleet as provided in the *cahier des charges*, and, finally, to the competition of trading companies, which,—according to the Company—, “pursuing a policy which seems to us to be economically unsound, prefer to undertake their own transport by water and, furthermore, place their surplus cargo space, when available, at the disposal of others at rates much lower than those of our tariff”. Pointing out that in this way a large proportion of the transport traffic was being diverted into other hands and that, restricted by the *cahier des charges* and by the obligation to maintain fixed rates, it could not compete, the Company asked that its existing rates should be regarded as maximum rates, so that it might enjoy the same freedom as its competitors to grant special rates to regular and important customers, and also be in a position to conclude with its customers fidelity contracts enabling it to grant a rebate on the tariff charges to those agreeing to entrust all their transport business to it.

The Belgian Government acceded to the Company's request in a letter dated October 24th, 1928, but at the same time pointed out that all shippers of the same category must be treated on the same footing, adding that the slightest complaint might entail, if justified, the withdrawal of this authorization.

A series of contracts were actually concluded by the Company in 1929 and the following years. These contracts were of two kinds: fidelity contracts properly so-called—most of which have, however, expired—and contracts for the taking over or laying up of shipping.

At the beginning of 1929, Mr. Chinn, a British subject, who had worked in the Congo since 1927, came to Leopoldville and established there a river transport and ship-building and repairing business. According to the information furnished by the Agent for the Government of the United Kingdom—which has not been gainsaid in this respect by the Belgian Government—Mr. Chinn was, apart from Unatra, the only fluvial transporter in the Belgian Congo who did not at the same time carry on business as a merchant or as a producer. The Parties, however, disagree as to the volume of his business and the amount of his profits.

In the course of 1930 and 1931, the severe commercial depression which prevailed throughout the whole world seriously affected trade in the Congo colony. On May 11th, 1931, the Chamber of Commerce of Leopoldville is stated to have appealed to the Belgian Government to lend its assistance by effecting a reduction of 50 % in the cost of all transport, by granting export premiums for the benefit of traders and by establishing government control of production.

On June 20th, 1931, the Belgian Minister for the Colonies sent the following communication to various transport concerns whose tariffs the Government was in a position to control, informing them of the decision which he had taken in order temporarily to relieve the critical state of trade:

[*Translation.*]

"Gentlemen,

The collapse of the prices obtained for colonial produce in the European markets necessitates an immediate reduction in the net price of the following Congo products: timber, cocoa, coffee, rubber, cotton, palm-oil, palm nuts, native rice, sesame, and other native produce with the exception of copal.

After consideration of the question, I have come to the conclusion that this reduction in the cost price must be effected, firstly, by a reduction of the expenses of transportation and handling and, secondly, by a diminution of the overhead charges of colonial producers.

Accordingly, I have decided that the rates at present in force for the transport and handling of the above-mentioned products shall be reduced as follows as from July 1st, 1931:

(a) *Manucongo.*

Reduction of 60 % in the rates at present in force for the carriage of raw cotton of native origin; of 33 % in the rates for the carriage of palm-oil, palm nuts, and empty oil-containers.

(b) *Mayumbe Railway Régie.*

Reduction in the rates for the carriage of palm-oil and of empty oil-containers to 1 franc per ton for any distance.

Reduction of 75 % in the rates at present in force for the carriage of palm nuts.

Reduction of 60 % in the rates at present in force for the carriage of timber, coffee, cocoa, sesame and rubber.

(c) *The "Compagnie du Chemin de fer du Congo".*

Reduction of 60 % in the rates at present in force for the carriage of raw cotton of native origin and of 33 % in the rates at present in force for the carriage of palm-oil and empty oil-containers, and also for the haulage of empty tanks.

(d) *The "Union nationale des Transports fluviaux et Manutention Léo".*

Reduction of the rates for the carriage of coffee, rubber, cocoa, cotton, palm-oil, sesame, native rice and empty oil-containers to 1 franc per ton for any distance.

Reduction of 75 % in the rates for the carriage of palm nuts for any distance.

Reduction of the handling charges at present in force : by 60 % for cotton, 33 % for palm-oil and empty oil-containers and palm nuts.

(e) *Congo Local Railways.*

Reduction of 60 % in the rates at present in force for the carriage of raw cotton of native origin.

(f) *The "Société des Messageries automobiles du Congo".*

Reduction of 60 % in the rates at present in force for the carriage of raw cotton of native origin.

The above reductions will come into force as from July 1st, 1931, for a period of three months, renewable on expiry.

The Colonial Administration requests you to open a special account, showing in particular any costs or losses arising out of the application of the above-mentioned measures. After carefully checking and auditing the figures, the Colonial Administration will reimburse you for any loss appearing in this special account, subject however to the express condition that the whole of your profits and losses, as shown in your annual statement of accounts or in your quarterly balance-sheets, show a deficit ; only overhead expenses, normal amortization and interest charges may however appear on the debit side of the said profit and loss account.

Furthermore, it is clearly understood that the charge which the Colony thus agrees to bear shall be recoverable, whenever the economic position allows of the transport tariffs being again raised.

I will be glad if you will inform me that you are in agreement with the above conditions, and if you will send the necessary instructions to your African office to enable the new regulations to come into force as from July 1st next.

I have, etc.

(Signed) PAUL CROKAERT,
Minister.

Letter sent to :

*Manucongo—Régie des Chemins de fer du
Mayumbé—Compagnie de Chemin de fer du
Congo—Union nationale des Transports flu-
viaux et Manutention Léo—Chemins de fer
vicinaux du Congo—Société des Messageries
automobiles du Congo."*

As will be seen, the decision, in so far as it applied to the transport of the main products of the colony intended for export, affected downstream traffic ; and in so far as the decision applied to the transport of empty containers, it affected mainly upstream traffic. In both cases the charge, reduced to one franc per ton, was, practically speaking, a purely nominal one.

In consequence of the reduction in rates, the Colony undertook to refund to the companies referred to above any losses incurred by them, provided that the profit and loss account

of each concern as a whole showed a deficit. On the other hand, it was understood that any such refunds would be recoverable when the economic situation made it possible to raise transport rates. Under the arrangement, the Belgian State paid to Unatra 2,072,000 fr. in 1931, 12,107,000 fr. in 1932 and 7,456,000 fr. in 1933.

This measure, which was to take effect on July 1st, 1931, and to remain in force for three months subject to renewal, gave rise to discontent in certain circles in the colony.

In a letter dated June 26th, 1931, the "*Société commerciale du Centre africain*", known as "Socca", asked the Minister for the Colonies to state what conditions it must accept in order to obtain compensation for the losses which, it averred, it was bound to suffer as a result of this decision; Socca added that it did not imagine that the Government could have "intended to create—in favour of one company—a preferential régime amounting in fact to a monopoly".

The Chamber of Commerce of Leopoldville also urged in a letter from its President to the Governor-General of the colony dated June 27th, 1931, that, "side by side with the assistance given to trade by the Colony through Unatra, equivalent assistance should be provided for those who prefer to entrust their transport business to other concerns or who transport their own produce".

In the following letter to Socca, dated July 28th, 1931, the Minister for the Colonies expressed his regret that he could not comply with its request:

[*Translation.*]

"Gentlemen,

I have the honour to acknowledge your letter of June 26th, 1931, regarding the reductions granted in respect of the tariffs of Unatra, and in which you ask that governmental aid should be extended to you under the same conditions.

I would observe that the measure with regard to the reduction of transport rates is a measure taken in the general interest and necessitated by the prices prevailing in the European markets for produce of the Congo. These reductions are temporary. They are only valid for periods of three months, at the expiration of which they will be renewed if necessary.

The compensation to be accorded by the Colony to transport undertakings will only be granted in so far as any expenses and losses are incurred resulting from the application of this measure and subject to the express condition that the profit and loss account of an undertaking as a whole shows a deficit, it being understood that on the debit side of this account may only be placed general expenses, normal amortization and interest charges.

The Government of the Colony moreover reserves the right, when a favourable opportunity occurs, to recover by means of increases

in the transport rates any sums which may have had to be advanced as a result of these reductions.

It follows that governmental assistance must be confined to transport undertakings over whose rates the Government has a right of supervision. I regret that, in these circumstances, I am unable to comply with your request.

I have, etc."

According to the Government of the United Kingdom, the effect of the decision of June 20th, 1931, was to ruin Mr. Chinn by forcing him entirely to suspend both his transport business and his ship-building and repairing business. According to the Belgian Government, on the contrary, this was not so and Mr. Chinn's last cargo was carried on May 13th, 1931, after which date he carried no further cargo on the river, either upstream or downstream. It is not disputed, moreover, that, on July 1st, 1931, Mr. Chinn's vessels were laid up.

Whatever the facts may be in regard to this point, six concerns interested in river transport, amongst them that of Mr. Chinn, decided to have recourse to the courts. On March 18th, 1932, they brought an action against the Colony before the Court of First Instance at Leopoldville, claiming on the basis of the Convention of Saint-Germain of September 10th, 1919, as approved by the Belgian law of July 5th, 1920, reparation of the damage—provisionally estimated at about twelve million francs—alleged to have been suffered by them as a result of the fact that the Colony "has concluded with the *Société nationale de Transports fluviaux*, known as Unatra, without admitting them to the benefit of similar treatment, an arrangement under which that Company—in consideration of the refund of the amounts involved—has made in its normal rates for the shipment of produce progressive reductions down to a purely nominal figure, and has thus established in favour of Unatra a virtual monopoly of the river transport business in the most important direction".

Their suit having been dismissed by a judgment given on September 21st, 1932, the claimants lodged an appeal with the Court of Appeal at Leopoldville; the latter, in a judgment given on December 13th, 1932, upheld the decision of the Court below.

Meantime, as the acuteness of the depression did not diminish and as the measure of June 20th, 1931, had only been instituted for three months, the Belgian Government prolonged it for successive periods, after attempting, without result, to revise in respect of certain products the reduction which it had made in Unatra's rates.

In October, 1932, after a visit paid to the Congo by the Minister for the Colonies, a further decision was taken and

was promulgated by the Governor-General on October 3rd, 1932. This decision was as follows:

“NOTICE TO THE PUBLIC.

The Minister for the Colonies has decided, as from August 1st, 1932, to grant, as an advance, to all private transporters making application and offering the requisite guarantees, the refund of losses suffered as a result of transporting products the downstream rates for which have been reduced.

This loss will be calculated per ton kilometre on the basis of the loss suffered by Unatra up to December 31st, 1932.

Private transporters must produce the manifest on unloading, and if necessary they must send copies of the bills of lading to support the manifest.

The guarantee must take the form of a guarantee by a bank or other solvent institution or of a mortgage on immovable property.”

After the Court of Appeal of Leopoldville had given judgment, the five enterprises which had associated with Mr. Chinn in starting legal proceedings against the Administration of the Colony do not appear to have carried the matter further. Only the latter did not abandon his claim. Before the delivery of the Court of Appeal's judgment, he had already appealed to his Government for protection, and the latter had taken up his claim.

Negotiations ensued between the Government of the United Kingdom and the Belgian Government with a view to a friendly settlement. These negotiations proved fruitless and the two Governments then agreed to submit the case to the Permanent Court of International Justice. The Special Agreement of April 13th, 1934, by virtue of which the Court is called upon to give judgment, was thereupon concluded.

* * *

As the case has been brought before the Court by Special Agreement, it is necessary to be clear as to the positions occupied by the respective Parties, according to the terms of that instrument.

Having regard to the order in which the documents of the written proceedings were alternately filed, in conformity with the method proposed in the Special Agreement, and having regard also to the order in which the Agents were agreed that they should address the Court, and to their attitude during the pleadings, it is evident that, in the opinion of the Parties in the present suit, the British Government is, in fact, in the position of plaintiff, and the Belgian Government in that of defendant.

According to the terms of the Special Agreement, the first question on which the Court has to decide is whether, "having regard to all the circumstances of the case", certain measures taken and applied in the month of June, 1931, and subsequently thereto by the Belgian Government, in connection with the Unatra Company and in relation to fluvial transport on the waterways of the Belgian Congo, are in conflict with the international obligations of that Government towards the Government of the United Kingdom.

It is first necessary to determine the nature of the measures of which the Government of the United Kingdom complains, the "circumstances of the case", that is to say the circumstances which are peculiar to the present suit, and, lastly, the international obligations with which—in the submission of the Government of the United Kingdom—these measures were in conflict.

I.—It is apparent from the history of the case that the measures taken and applied in the month of June 1931, and subsequently thereto, in connection with the Unatra Company and in relation to fluvial transport on the waterways of the Belgian Congo, are primarily the decision of the Minister of the Colonies, dated June 20th, 1931, and the refusal of the Belgian Government, which ensued and which was maintained until October 3rd, 1932, to extend the benefit of these measures to fluvial transport enterprises other than Unatra; the measures also include the payments made by the Exchequer of the Colony to that Company. It is evident that the fundamental issue in the present suit is the lawfulness or otherwise under international law of the measures taken in 1931.

The action of the Minister appears as a governmental act, applying to several companies engaged in transport and in particular to Unatra; in the case of the latter enterprise, this act constituted a kind of rider to the Company's *cahier des charges*, and is to be accounted for by the right of supervision which the Government retained over that Company; it was also a governmental act, in virtue of the promises held out on behalf of the Colonial Exchequer of reimbursement—possibly only temporary—of any losses that might be incurred. Moreover, it is plain from the Special Agreement itself that the Parties are agreed in regarding the measure as a governmental act, and it is in that character that it has been impugned by the Government of the United Kingdom.

As regards its scope, the Belgian Government's action had in view—as has been shown—a substantial reduction in the transport tariffs on certain native products; it is not a measure applying especially to the Unatra Company, since it also affects certain land transport concerns under State supervision. On the other hand, to compensate for the expenses and losses which it

imposes, it provides for a refund to each of the enterprises concerned, subject however to the condition that the profit and loss account of that particular enterprise, as a whole, reveals a deficit. These reimbursements are, moreover, recoverable by the State, as soon as the economic situation has improved sufficiently to allow the tariffs to be raised again, they constitute a temporary loan, or advance, which has to be refunded to the Colonial Exchequer. The measure itself is of a temporary character ; it may, however, be prolonged.

2.—As regards the "circumstances of the case", which the Parties have expressly asked the Court, in the Special Agreement, to take into account in judging the demand of the Government of the United Kingdom, the information given in the documents filed and in the oral pleadings shows them to be briefly as follows.

In the first place is to be noted the peculiar importance of fluvial transport for the whole economic organization of the colony. The river Congo, owing to the magnitude and extent of its waterways, constitutes the chief highway of the Belgian colony. Penetrating, by means of its numerous tributaries, to the remotest confines of the territory, it makes it possible to exploit and turn to account the local sources of wealth of every part of the colony, so that, from the point of view of the evacuation of products to be exported, it constitutes an essential factor in the commercial activities of the colony.

A special aspect of the circumstances in which the measure of 1931 was adopted is revealed when one considers the character of the Unatra Company. Having succeeded in 1925 to the Sonatra Company, which was under the direction of the State, the Unatra Company was in form a private company ; but it was charged, none the less—owing to the terms of its *cahier des charges* and the supervision therein reserved to the State—with the conduct of an organized public service, involving special obligations and responsibilities, with a view, primarily, to satisfying the general requirements of the colony.

The fact that Unatra was responsible for these services was, it is true, no bar to the enterprises of other concerns who were desirous of engaging in fluvial transport on their own account, or for the account of others. But these concerns, carrying on business freely, and having pecuniary profit as their main and legitimate object, had no claim to any guarantee of their profits from the State. They could only claim the freedom and equality guaranteed by treaty on the Congo, as will presently be shown.

Finally, the circumstance which, according to the Belgian Government, was the determining cause of the measure which

it took on June 20th, 1931, was the general economic depression and the necessity of assisting trade, which was suffering grievously from the fall in prices of colonial products, and of warding off the danger which threatened to involve the whole colony in a common disaster.

The Belgian Government was the sole judge of this critical situation and of the remedies that it called for—subject of course to its duty of respecting its international obligations.

3.—As regards the international obligations of the Belgian Government towards the Government of the United Kingdom, these have been clearly indicated by the Parties in their written Memorials and in the course of the pleadings. They are, in the first place, the obligations arising from the international régime of the Congo Basin, under the Convention of Saint-Germain-en-Laye of September 10th, 1919, and in the second place the obligations resulting from the general principles of international law.

According to Article 1 of the Convention of Saint-Germain :

“The signatory Powers undertake to maintain between their respective nationals and those of States, Members of the League of Nations, which may adhere to the present Convention a complete commercial equality in the territories under their authority within the area defined by Article 1 of the General Act of Berlin of February 26th, 1885, set out in the Annex hereto, but subject to the reservation specified in the final paragraph of that Article.

Annex.

Article 1 of the General Act of Berlin of February 26th, 1885.

The trade of all nations shall enjoy complete freedom :

1. In all the regions forming the basin of the Congo and its outlets [according to the geographical boundaries].
2. In the maritime zone extending along the Atlantic Ocean [according to the geographical boundaries].
3. In the zone stretching eastwards from the Congo Basin [according to the geographical boundaries].

It is expressly recognized that in extending the principle of free trade to this eastern zone, the Conference Powers only undertake engagements for themselves, and that in the territories belonging to an independent sovereign State this principle shall only be applicable in so far as it is approved by such State. But the Powers agree to use their good offices with the governments established on the African shore of the Indian Ocean for the purpose of obtaining such approval, and in any case of securing the most favourable conditions to the transit (traffic) of all nations.”

Furthermore, according to Article 5 :

"Subject to the provisions of the present Chapter, the navigation of the Niger, of its branches and outlets, and of all the rivers, and of their branches and outlets, within the territories specified in Article 1, as well as of the lakes situated within those territories, shall be entirely free for merchant vessels and for the transport of goods and passengers.

Craft of every kind belonging to the nationals of the signatory Powers and of States, Members of the League of Nations, which may adhere to the present Convention, shall be treated in all respects on a footing of perfect equality."

The Convention of Saint-Germain was the successor—so far as the Parties in the case are concerned and as regards the relations between them—of the General Act of Berlin of February 26th, 1885, and of the Act and Declaration of Brussels of July 2nd, 1890—to which Acts it is linked up by its Preamble; but it should be pointed out that, according to the terms of Article 13 of the Convention signed by the two Governments concerned,

"Except in so far as the stipulations contained in Article 1 of the present Convention are concerned, the General Act of Berlin of February 26th, 1885, and the General Act of Brussels of July 2nd, 1890, with the accompanying Declaration of equal date, shall be considered as abrogated, in so far as they are binding between the Powers which are Parties to the present Convention."

No matter what interest may in other respects, attach to these Acts—the Berlin Act and the Act and Declaration of Brussels—in the present case the Convention of Saint-Germain of 1919, which both Parties have relied on as the immediate source of their respective contractual rights and obligations, must be regarded by the Court as the Act which it is asked to apply; the validity of this Act has not so far, to the knowledge of the Court, been challenged by any government.

The Parties are not agreed as to whether paragraph 1 of Article 1 of the Berlin Act—this Article is reproduced as an Annex to Article 1 of the Convention of Saint-Germain—which proclaims "complete freedom" of trade for all nations, is, or is not, embodied in the last-named Article. In the view of the Government of the United Kingdom, the clause in question constitutes an integral part of that Article. The Court cannot however agree with that opinion, which is inconsistent with the express terms of Article 1 of the Convention of Saint-Germain; for this Article only maintains in force Article 1 of the Berlin Act, which is annexed thereto, in so far as concerns the clauses fixing the limits of the territories to which the Convention applies, and the last paragraph. But that question loses much of its interest in the present case, when it is observed

that paragraph 1 of Article 5 of the Convention applies this principle of freedom of trade in regard to the very question of fluvial navigation with which the Court is now concerned. It is, indeed, hardly open to doubt that the fluvial transport industry is a branch of commerce.

It is true that the Convention of Saint-Germain, by Article 13 referred to above, has abolished the régime of freedom of trade so far as concerns the exemption from customs duties stipulated in Article IV of the Berlin Act. But there is no evidence that it intended to depart, so far as concerns commerce, from the general principle of freedom which was laid down at Berlin in regard to the river system in question. On the contrary, the signatory States of the Convention of Saint-Germain expressly referred to that principle not only—as has already been shown—in Article 5 quoted above, but also in the concluding paragraph of the Annex to Article 1 and in Article 10.

In regard to the general principles of international law, on which the Government of the United Kingdom has alternatively relied, it is apparent from the written Memorials and pleadings of the Parties that the Government of the United Kingdom relies on the obligation incumbent upon all States to respect the vested rights of foreigners in their territories, and that it is this obligation which the Belgian Government is alleged to have infringed in regard to Mr. Chinn.

* * *

In considering, in accordance with the terms of the Special Agreement, whether the impugned measures were or were not in conflict with the international obligations of the Belgian Government, the Court, having regard to the positions occupied by the respective Parties—as indicated above—will examine the arguments advanced by the Government of the United Kingdom against the compatibility of these measures with the obligations in question.

Relying on the international obligations incumbent upon the Belgian Government, the Government of the United Kingdom impugns the measures taken by the Belgian Minister of the Colonies on June 20th, 1931, in the following respects.

In the first place, it is alleged that the Belgian Government, by enjoining a reduction of tariffs on the Unatra Company in return for a promise of temporary pecuniary compensation, made it impossible for the other fluvial transporters, including Mr. Chinn, to retain their customers, and in consequence to carry on their business; in this way, it is argued, it enabled the Unatra Company to exercise a *de facto* monopoly which—in the view of the Government of the United Kingdom—is incom-

patible with the Belgian Government's obligation to maintain commercial freedom and equality, and also with the obligation arising out of Article 5 of the Convention of Saint-Germain, which applies those principles to fluvial navigation. The Belgian Government is alleged to have acted thus not only with a view to assisting trade in the Colony, but also in order to concentrate fluvial transport in the hands of Unatra.

Alternatively, it is alleged that the Belgian Government, by creating for the advantage of the Belgian Company Unatra a régime in the benefits of which Mr. Chinn, a British subject, was not entitled to share, was practising a discrimination, contrary to the equality of treatment stipulated in the Convention of Saint-Germain.

Lastly, in case the Court should not find that the measures taken in 1931 constituted a breach of the said Convention, the Government of the United Kingdom submits that, by making it commercially impossible for Mr. Chinn, a British subject, to carry on his business, these measures constituted—it is alleged—a violation of vested rights, protected by the general principles of international law.

For its part, the Belgian Government submits the following considerations:

The measures which it adopted became necessary in order to safeguard the interests of the community as a consequence of the position of colonial products in the markets of the world; it never formed part of the intentions of the Belgian Government to create a monopoly of any kind for Unatra in order to drive embarrassing competitors out of business. The measures that it took were lawful from the standpoint of international law, whether conventional or customary.

The Belgian Government further maintains that a distinction must be drawn between the sphere of navigation and that of the management of national shipping. Whereas, in the former sphere, the riparian State is forbidden to encroach on freedom of navigation, its freedom of action in the latter sphere is not subject to restriction.

Lastly, in regard to the British Government's contention based on general international law, the Belgian Government considers that no injury has been caused to already existing vested rights; at the utmost, injury may have been caused to private interests.

* * *

(a) The main argument of the Government of the United Kingdom is the alleged inconsistency between the measures

taken by the Belgian Government and the principles of equality and freedom of trade and freedom of navigation.

According to the conception universally accepted, the freedom of navigation referred to by the Convention comprises freedom of movement for vessels, freedom to enter ports, and to make use of plant and docks, to load and unload goods and to transport goods and passengers.

From this point of view, freedom of navigation implies, as far as the business side of maritime or fluvial transport is concerned, freedom of commerce also. But it does not follow that in all other respects freedom of navigation entails and presupposes freedom of commerce.

What the Government of the United Kingdom is concerned with in this case is the principle of freedom of navigation regarded from the special aspect of the commercial operations inherent in the conduct of the transport business; for that Government has never contended that the impugned measures constituted an obstacle to the movement of vessels.

For this reason the Court—whilst recognizing that freedom of navigation and freedom of commerce are, in principle, separate conceptions—considers that it is not necessary, for the purposes of the present case, to examine them separately.

The Government of the United Kingdom has relied, as regards freedom of commerce, on the first sentence of the Annex to Article 1 of the Convention of Saint-Germain. But, as has been shown above, this argument has not been accepted by the Court, having regard to the wording of Article 1.

The idea of freedom of trade has not, however, disappeared from the Convention of Saint-Germain. Its first Article is devoted to the principle of commercial equality, and the latter in itself presupposes in principle freedom of trade. The last paragraph of Article 1 of the Act of Berlin, which is maintained by the Convention of Saint-Germain, contains, as has been recalled above, the following reservation: "It is expressly recognized that in extending the principle of free trade to this eastern zone, the Powers only undertake engagements for themselves", etc. Commercial freedom is therefore expressly contemplated.

Article 2 of the Convention concerns freedom of trade; it guarantees free access for merchandise, in the same way as it does for vessels flying the flag of any contracting Power, while reserving to the State concerned complete liberty of action as to the customs and navigation regulations and tariffs to be applied in its territory.

Finally, Article 10 refers to this principle in the following terms: "The signatory Powers recognize the obligation to

maintain in the regions subject to their jurisdiction authority and police forces sufficient to ensure protection of persons and of property and, if necessary, freedom of trade and of transit."

Whilst therefore it is certain that the Convention of Saint-Germain is also based on the idea of commercial freedom, it is however to be observed that this idea has not the same import in the Convention as in the Act of Berlin. This Act really meant by free trade the régime of the open door. By abolishing—as has already been stated—the prohibition to levy customs duties found in Article IV of the Act, the Convention has abandoned this régime; in this connection it should also be observed that Article V of the Act, the second paragraph of which corresponds to Article 3 of the Convention, contained a first paragraph which does not reappear in the Convention and which prohibited the granting of a monopoly or privilege in matters of trade.

It cannot be supposed that the contracting Parties adopted new provisions with the idea that they might lend themselves to a broad interpretation going beyond what was expressly laid down.

Freedom of trade, as established by the Convention, consists in the right—in principle unrestricted—to engage in any commercial activity, whether it be concerned with trading properly so-called, that is the purchase and sale of goods, or whether it be concerned with industry, and in particular the transport business; or, finally, whether it is carried on inside the country or, by the exchange of imports and exports, with other countries. Freedom of trade does not mean the abolition of commercial competition; it presupposes the existence of such competition. Every undertaking freely carrying on its commercial activities may find itself confronted with obstacles placed in its way by rival concerns which are perhaps its superiors in capital or organization. It may also find itself in competition with concerns in which States participate, and which have occupied a special position ever since their formation, as is the case of Unatra. Mr. Chinn, a British subject, when, in 1929, he entered the river transport business, could not have been ignorant of the existence of the competition which he would encounter on the part of Unatra, which had been established since 1925, of the magnitude of the capital invested in that Company, of the connection it had with the Colonial and Belgian Governments, and of the predominant rôle reserved to the latter with regard to the fixing and application of transport rates.

The Government of the United Kingdom maintains that the reduction in transport rates together with the Belgian

Government's promise temporarily to make good losses enabled Unatra to exercise a *de facto* monopoly inconsistent with freedom of trade.

The Court must therefore consider whether the alleged concentration of transport business in the hands of Unatra, of which the Government of the United Kingdom complains, and the fact that, because of this concentration, it was commercially impossible for Mr. Chinn to carry on his business, are inconsistent with the conception of freedom of trade propounded above.

A concentration of business of this kind will only infringe freedom of commerce if commerce is prohibited by the concession of a right precluding the exercise of the same right by others; in other words, if a "monopoly" is established which others are bound to respect.

The Court sees nothing in the measure taken by the Belgian Government indicative of such a prohibition. Moreover, the Government of the United Kingdom does not contend that such a monopoly has been created; but it maintains that the impugned measure had the effect of making it commercially impossible for Mr. Chinn, amongst others, to carry on his business and thus led to what is described as a "*de facto* monopoly". In what the Government of the United Kingdom describes in this case as a "*de facto* monopoly", the Court, however, sees only a natural consequence of the situation of the services under State supervision as compared with private concerns. The Court also sees therein, in some respects, a possible effect of commercial competition; but it cannot be argued from this that the freedom of trade and the freedom of navigation, provided for by the Convention of Saint-Germain, imply an obligation incumbent on the Belgian Government to guarantee the success of each individual concern. If the term "*de facto* monopoly" should be understood, in so far as concerns trade, navigation or the transport business, as covering all measures likely to render it difficult or impossible for others to carry on their businesses at the same prices and under the same commercial conditions, it would follow that all measures affording to customers facilities, reductions in prices, abatements or other advantageous conditions which other concerns are unwilling or unable to offer and which, after all, are calculated to promote commerce, would be incompatible with freedom of trade. Such a contention would be inconsistent with the very notion of trade; for there is nothing to prevent a merchant, a ship-owner, a manufacturer or a carrier from operating temporarily at a loss if he believes that by so doing he will be able to keep his business going.

To sum up, having regard to the exceptional circumstances in which the measures of June 20th, 1931, were adopted and to the nature of those measures, that is to say, their temporary character and the fact that they applied to companies entrusted by the State with the conduct of public services, these measures cannot be condemned as having contravened the undertaking given by the Belgian Government in the Convention of Saint-Germain to respect freedom of trade in the Congo.

Even supposing that Unatra took advantage of the temporary lowering of its rates to endeavour to concentrate in its hands the business of its competitors, it cannot be inferred, especially having regard to the circumstances already mentioned, that this was the motive and aim of the action of the Belgian Government.

In these circumstances, it is unnecessary for the Court to consider whether, as alleged by the Government of the United Kingdom, the Belgian Government, in taking the measures which are said to have resulted in this concentration of business, was to a certain extent actuated also by motives other than the desire to assist trade during a period of depression. Moreover, the circumstances in which the impugned measures were taken are such as to preclude any idea that the Belgian Government intended by indirect means to escape the obligations incumbent on it under the Convention of Saint-Germain.

On the other hand, the Court is unable to accept the general proposition of the Belgian Government regarding its conception of "the management of national shipping". However legitimate and unfettered governmental action in connection with the management and subsidizing of national shipping may be, it is clear that this does not authorize a State to evade on this account its international obligations.

(b) With regard to the alternative contention of the Government of the United Kingdom, alleging discrimination inconsistent with the equality of treatment provided for in the Convention of Saint-Germain, it should, in the first place, be remembered that the principle of equal treatment is the characteristic feature of the legal régime established in the Congo Basin. The Convention of Saint-Germain applies this principle in most of its articles, namely in Articles 1, 2, 3, 4, 5, 6, 7, 9 and 11. Moreover, this equality of treatment is only guaranteed by the Convention to the nationals of Powers which are parties to the Convention or of Powers adhering to it.

Thus, Article 1 of the Convention provides that: "The signatory Powers undertake to maintain between their respective nationals a complete commercial equality", etc. Article 3 guarantees to nationals of the same Powers the same treatment and the same rights as those enjoyed by nationals of the Power

exercising authority in the territory, and thus provides for assimilation to nationals. The second paragraph of Article 11 provides that the signatory Powers will protect and favour, without distinction of nationality or of religion, religious, scientific or charitable institutions.

The form of discrimination which is forbidden is therefore discrimination based upon nationality and involving differential treatment by reason of their nationality as between persons belonging to different national groups.

It should be recalled in this connection that the treatment accorded to Unatra was based on the special position of that Company, as a Company under the supervision of the Belgian Government. The special advantages and conditions resulting from the measures of June 20th, 1931, were bound up with the position of Unatra as a Company under State supervision and not with its character as a Belgian Company. These measures, as decreed, would have been inapplicable to concerns not under government supervision, whether of Belgian or foreign nationality. The inequality of treatment could only have amounted to a discrimination forbidden by the Convention if it had applied to concerns in the same position as Unatra, and this was not the case.

In these circumstances, the Court is unable to attach any legal importance to the argument based by the Government of the United Kingdom on the fact—which is not disputed by the Belgian Government—that Mr. Chinn was the only private transporter who, like Unatra, confined his business to the transport of goods belonging to others.

On the other hand, the Government of the United Kingdom does not maintain, and there is no justification for supposing, that it was owing to his status as a British national that Mr. Chinn was not given the benefit of the arrangement accorded to the Belgian Company Unatra. In this respect, the position of the British national Mr. Chinn was not, as such, either better or worse than that of the other concerns not under State supervision; these included, according to the evidence produced, Belgian concerns and a French concern.

The Court therefore is equally unable to accept the alternative plea as to an alleged discrimination.

(c) It remains to consider the last alternative plea of the Government of the United Kingdom to the effect that the measure of June 20th, 1931, by depriving indirectly Mr. Chinn of any prospect of carrying on his business profitably, constituted a breach of the general principles of international law, and in particular of respect for vested rights.

The Court, though not failing to recognize the change that had come over Mr. Chinn's financial position, a change which is said to have led him to wind up his transport and ship-building businesses, is unable to see in his original position—which was characterized by the possession of customers and the possibility of making a profit—anything in the nature of a genuine vested right. Favourable business conditions and goodwill are transient circumstances, subject to inevitable changes; the interests of transport undertakings may well have suffered as a result of the general trade depression and the measures taken to combat it.

No enterprise—least of all a commercial or transport enterprise, the success of which is dependent on the fluctuating level of prices and rates—can escape from the chances and hazards resulting from general economic conditions. Some industries may be able to make large profits during a period of general prosperity, or else by taking advantage of a treaty of commerce or of an alteration in customs duties; but they are also exposed to the danger of ruin or extinction if circumstances change. Where this is the case, no vested rights are violated by the State.

It is true that in 1932 the Belgian Government decided to grant Belgian or foreign ship-owners, whose business was endangered, advances similar to those allowed to the Unatra Company; the taking of this measure cannot, however, be regarded in itself as an admission by the Belgian Government of a legal obligation to indemnify the transporters for an encroachment on their vested rights; it is rather to be ascribed to the desire of every government to show consideration for different business interests, and to offer them some compensation, when possible. The action of the Government appears to have been rather in the nature of an act of grace.

* * *

For the foregoing reasons, the Court holds that the answer to the first question submitted to it by the Special Agreement must be in the negative.

Accordingly, the point concerning reparation for Mr. Chinn, which forms the subject of the second question in the Special Agreement, does not arise.

In these circumstances, there is no occasion to order the enquiry suggested at the beginning of the hearings by the Agent for the Government of the United Kingdom.

FOR THESE REASONS,

The Court,

by six votes to five,

decides :

that the measures taken and applied in the month of June 1931 and subsequently thereto by the Belgian Government in connection with the limited liability Company *Union nationale des Transports fluviaux* (commonly known as Unatra) and in relation to fluvial transport on the waterways of the Belgian Congo, are not, having regard to all the circumstances of the case, in conflict with the international obligations of the Belgian Government towards the Government of the United Kingdom.

Done in French and English, the French text being authoritative, at the Peace Palace, The Hague, this twelfth day of December, one thousand nine hundred and thirty-four, in three copies, one of which shall be placed in the archives of the Court, and the others forwarded to the Belgian Government and to the Government of the United Kingdom respectively.

(Signed) J. G. GUERRERO,
Officiating President.

(Signed) Å. HAMMARSKJÖLD,
Registrar.

M. DE BUSTAMANTE, Judge, who sat as a member of the Court during the extraordinary session devoted to the present case until December 10th, 1934, and who took part in the deliberation and in the vote on the judgment, was compelled to leave The Hague before it was delivered. He stated that he concurred both in the operative part of the judgment and in the grounds on which it was based.

Sir CECIL HURST, President of the Court, MM. ALTAMIRA, ANZILOTTI and SCHÜCKING, and Jonkheer VAN EYSINGA, Judges,

declare that they are unable to concur in the judgment given by the Court and, availing themselves of the right conferred on them by Article 57 of the Statute, have appended to the judgment the separate opinions which follow.

(Initialed) J. G. G.

(Initialed) Å. H.